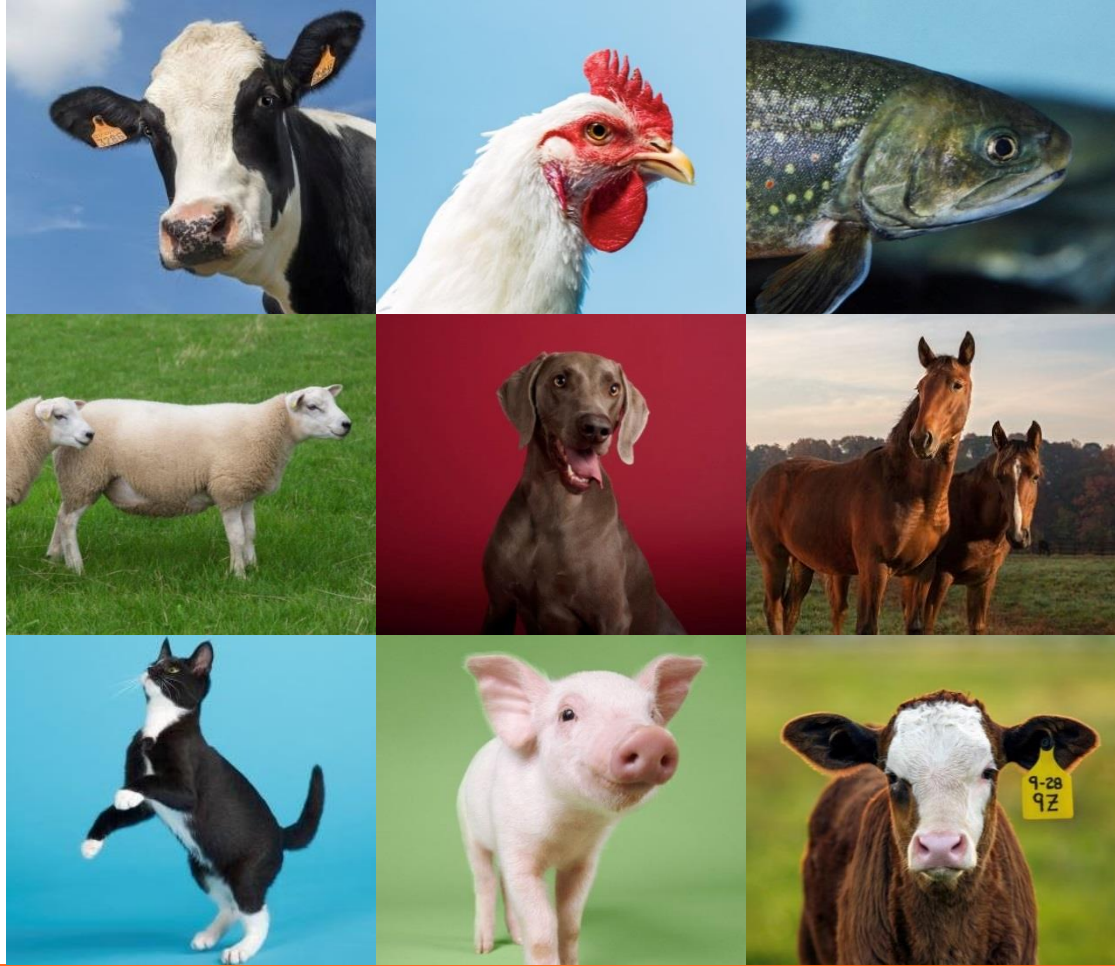


FOURTH QUARTER AND FULL YEAR 2017 FINANCIAL RESULTS

February 15, 2018



FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FULL-YEAR 2017 RESULTS

- Delivered operational¹ growth of 8% in revenue and 21% in adjusted net income², in-line with Zoetis' long-term value proposition to shareholders
- Diverse portfolio drove solid revenue performance across all species and key markets, with strong operational growth of 14% in companion animal products leading the way
- Almost doubled operating cash flow compared to 2016 due to income growth and our increased discipline on the balance sheet
- Became first animal health company to achieve more than \$5 billion in annual revenue

POSITIVE OUTLOOK FOR LONG TERM PROFITABLE GROWTH

- Established full year 2018 guidance with adjusted net income growing faster than revenue on an operational basis
- Will continue investing in critical commercial, manufacturing, and R&D capabilities, as well as business development opportunities, to sustain long-term growth
- Increased cash flow and recent U.S. tax change provide greater funding and flexibility for growth investments

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted Net Income (non-GAAP financial measure) and adjusted diluted earnings per share are defined as reported U.S. generally accepted accounting principles (GAAP) net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter		
	2017*	2016*	Change
Revenue	\$1,460	\$1,277	14%
Reported Net Income	81	154	(47)%
Reported Diluted Earnings Per Share	\$0.16	\$0.31	(48)%
Adjusted Net Income ¹	341	232	47%
Adjusted Diluted EPS ¹	\$0.69	\$0.47	47%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

INCOME STATEMENT HIGHLIGHTS

	Full Year		
	2017*	2016*	Change
Revenue	\$5,307	\$4,888	9%
Reported Net Income	864	821	5%
Reported Diluted Earnings Per Share	\$1.75	\$1.65	6%
Adjusted Net Income ¹	1,185	975	22%
Adjusted Diluted EPS ¹	\$2.40	\$1.96	22%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Fourth Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ²
Revenue	\$1,460	\$1,277	14%	1%	13%
Adjusted Cost of Sales ¹	454	455	-	1%	(1)%
<i>as a percent of revenue</i>	31.1%	35.6%	NA	NA	NA
Adjusted SG&A Expenses ¹	359	348	3%	1%	2%
Adjusted R&D Expenses ¹	110	107	3%	1%	2%
Effective Tax Rate on Adjusted Income ¹	27.5%	25.2%	NA	NA	NA
Adjusted Net Income ¹	341	232	47%	10%	37%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Full Year				
	2017*	2016*	Change	Foreign Exchange	Operational ²
Revenue	\$5,307	\$4,888	9%	1%	8%
Adjusted Cost of Sales ¹	1,761	1,624	8%	1%	7%
<i>as a percent of revenue</i>	33.2%	33.2%	NA	NA	NA
Adjusted SG&A Expenses ¹	1,325	1,312	1%	-	1%
Adjusted R&D Expenses ¹	380	374	2%	1%	1%
Effective Tax Rate on Adjusted Income ¹	28.2%	29.9%	NA	NA	NA
Adjusted Net Income ¹	1,185	975	22%	1%	21%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Fourth Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$712	\$631	13%	-	13%
Livestock	374	336	11%	-	11%
Companion Animal	338	295	15%	-	15%
Cost of Sales	153	149	3%	-	3%
Gross Profit	559	482	16%	-	16%
<i>Gross Margin</i>	78.5%	76.4%	NA	-	NA
Operating Expenses	109	95	15%	-	15%
Other (Income)/Deductions	(3)	-	**	-	**
Earnings ²	453	387	17%	-	17%

* Millions of dollars, NA – Not applicable, ** Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

US SEGMENT PERFORMANCE

	Full Year				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,620	\$2,447	7%	-	7%
Livestock	1,244	1,227	1%	-	1%
Companion Animal	1,376	1,220	13%	-	13%
Cost of Sales	565	551	3%	-	3%
Gross Profit	2,055	1,896	8%	-	8%
<i>Gross Margin</i>	78.4%	77.5%	NA	-	NA
Operating Expenses	421	388	9%	-	9%
Other (Income)/Deductions	(3)	-	**	-	**
Earnings ²	1,637	1,508	9%	-	9%

* Millions of dollars, NA – Not applicable, ** Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Fourth Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$740	\$636	16%	3%	13%
Livestock	517	454	14%	3%	11%
Companion Animal	223	182	23%	5%	18%
Cost of Sales	244	235	4%	3%	1%
Gross Profit	496	401	24%	4%	20%
<i>Gross Margin</i>	67.0%	63.1%	NA	NA	NA
Operating Expenses	143	140	2%	3%	(1)%
Other (Income)/Deductions	-	(1)	(100)%	(30)%	(70)%
Earnings ²	353	262	35%	4%	31%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income



INTERNATIONAL SEGMENT PERFORMANCE

	Full Year				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$2,643	\$2,390	11%	1%	10%
Livestock	1,793	1,654	8%	1%	7%
Companion Animal	850	736	15%	(1)%	16%
Cost of Sales	889	833	7%	1%	6%
Gross Profit	1,754	1,557	13%	1%	12%
<i>Gross Margin</i>	66.4%	65.1%	NA	NA	NA
Operating Expenses	515	501	3%	1%	2%
Other (Income)/Deductions	(1)	2	**	**	**
Earnings ²	1,240	1,054	18%	1%	17%

* Millions of dollars, NA – Not applicable, ** Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Fourth Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Total International	\$740	\$636	16%	3%	13%
Australia	42	38	11%	5%	6%
Brazil	95	83	14%	1%	13%
Canada	61	53	15%	6%	9%
China	37	32	16%	3%	13%
France	36	28	29%	6%	23%
Germany	41	35	17%	6%	11%
Italy	24	20	20%	10%	10%
Japan	37	31	19%	(8)%	27%
Mexico	26	20	30%	10%	20%
Spain	26	20	30%	13%	17%
United Kingdom	44	39	13%	5%	8%
Other Developed	99	79	25%	3%	22%
Other Emerging	172	158	9%	1%	8%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

INTERNATIONAL MARKET REVENUE

	Full Year				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Total International	\$2,643	\$2,390	11%	1%	10%
Australia	176	157	12%	3%	9%
Brazil	300	245	22%	10%	12%
Canada	184	173	6%	1%	5%
China	174	145	20%	(4)%	24%
France	121	117	3%	-	3%
Germany	137	125	10%	1%	9%
Italy	89	83	7%	1%	6%
Japan	138	127	9%	(3)%	12%
Mexico	86	76	13%	(3)%	16%
Spain	93	82	13%	2%	11%
United Kingdom	149	151	(1)%	(7)%	6%
Other Developed	339	302	12%	1%	11%
Other Emerging	657	607	8%	(1)%	9%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	Full Year 2018
Revenue <i>Operational growth</i> ¹	\$5,675 to \$5,800 5% to 7%
Adjusted cost of sales as a percentage of revenue ²	Approximately 32%
Adjusted SG&A expenses ²	\$1,370 to \$1,420
Adjusted R&D expenses ²	\$400 to \$420
Adjusted interest expense and other (income) / deductions ²	Approximately \$190
Effective tax rate on adjusted income ²	21% - 22%
Adjusted diluted EPS ²	\$2.96 to \$3.10
Adjusted net income ² <i>Operational growth</i> ^{1,3}	\$1,450 to 1,520 20% to 26%
Certain significant items ⁴ and acquisition-related costs	\$20 to \$40
Reported diluted EPS	\$2.77 to \$2.93

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted SG&A expenses, adjusted R&D expenses, adjusted interest expense, and adjusted other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Adjusted net income and its components and adjusted diluted EPS are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring and other charges for the supply network strategy. Excludes potential net gains/losses on sales of assets.

Q&A

APPENDIX

RECONCILIATION OF GAAP REPORTED TO NON-GAAP ADJUSTED INFORMATION

2017

<i>in USD millions</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of Sales	1,775	(7)	-	(7)	1,761
Gross Profit	3,532	7	-	7	3,546
<i>Gross Profit as % of Revenue</i>	66.6%				66.8%
Selling, General and Administrative expenses	1,334	(5)	-	(4)	1,325
Research & Development Expenses	382	(2)	-	-	380
Amortization of Intangible Assets	91	(74)	-	-	17
Total Operating Expenses	1,807	(81)	-	(4)	1,722
<i>Total Operating Expenses as % of Revenue</i>	34.0%				32.4%
Restructuring Charges and Certain Acquisition Related Costs	19	-	(10)	(9)	-
Other (Income) / Expenses	6	-	-	(5)	1
Income before Provision for Taxes on Income	1,525	88	10	25	1,648
Provision for Taxes on Income	663	37	3	(238)	465
Income from Continuing Operations	862	51	7	263	1,183
Net Income attributable to Zoetis	864	51	7	263	1,185

¹ U.S. generally accepted accounting principles.

² Non-GAAP adjusted net income and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

RECONCILIATION OF GAAP REPORTED TO NON-GAAP ADJUSTED INFORMATION

2016

<i>in USD millions</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of Sales	1,666	(23)	-	(19)	1,624
Gross Profit	3,222	23	-	19	3,264
<i>Gross Profit as % of Revenue</i>	65.9%				66.8%
Selling, General and Administrative expenses	1,364	(5)	-	(47)	1,312
Research & Development Expenses	376	(2)	-	-	374
Amortization of Intangible Assets	85	(69)	-	-	16
Total Operating Expenses	1,825	(76)	-	(47)	1,702
<i>Total Operating Expenses as % of Revenue</i>	37.3%				34.8%
Restructuring Charges and Certain Acquisition Related Costs	5	-	(3)	(2)	-
Other (Income) / Expenses	(2)	-	(1)	11	8
Income before Provision for Taxes on Income	1,228	99	4	57	1,388
Provision for Taxes on Income	409	39	-	(33)	415
Income from Continuing Operations	819	60	4	90	973
Net Income attributable to Zoetis	821	60	4	90	975

¹ U.S. generally accepted accounting principles.

² Non-GAAP adjusted net income and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

RECONCILIATION OF GAAP REPORTED TO NON-GAAP ADJUSTED INFORMATION

2015

<i>in USD millions</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of Sales	1,738	(9)	-	(62)	1,667
Gross Profit	3,027	9	-	62	3,098
<i>Gross Profit as % of Revenue</i>	63.5%				65.0%
Selling, General and Administrative expenses	1,532	-	-	(133)	1,399
Research & Development Expenses	364	(2)	-	(2)	360
Amortization of Intangible Assets	61	(46)	-	-	15
Total Operating Expenses	1,957	(48)	-	(135)	1,774
<i>Total Operating Expenses as % of Revenue</i>	41.1%				37.2%
Restructuring Charges and Certain Acquisition Related Costs	320	-	(19)	(301)	-
Other (Income) / Expenses	81	-	(2)	(94)	(15)
Income before Provision for Taxes on Income	545	57	21	592	1,215
Provision for Taxes on Income	206	18	(1)	103	326
Income from Continuing Operations	339	39	22	489	889
Net Income attributable to Zoetis	339	39	22	489	889

¹ U.S. generally accepted accounting principles.

² Non-GAAP adjusted net income and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

RECONCILIATION OF GAAP REPORTED TO NON-GAAP ADJUSTED INFORMATION

2014

<i>in USD millions</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of Sales	1,717	(4)	-	(33)	1,680
Gross Profit	3,068	4	-	33	3,105
<i>Gross Profit as % of Revenue</i>	<i>64.1%</i>				<i>64.9%</i>
Selling, General and Administrative expenses	1,643	-	-	(136)	1,507
Research & Development Expenses	396	(2)	-	(1)	393
Amortization of Intangible Assets	60	(45)	-	-	15
Total Operating Expenses	2,099	(47)	-	(137)	1,915
<i>Total Operating Expenses as % of Revenue</i>	<i>43.9%</i>				<i>40.0%</i>
Restructuring Charges and Certain Acquisition Related Costs	25	-	(8)	(17)	-
Other (Income) / Expenses	7	-	-	(18)	(11)
Income before Provision for Taxes on Income	820	51	8	205	1,084
Provision for Taxes on Income	233	17	3	37	290
Income from Continuing Operations	587	34	5	168	794
Net Income attributable to Zoetis	583	34	5	168	790

¹ U.S. generally accepted accounting principles.

² Non-GAAP adjusted net income and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

RECONCILIATION OF GAAP REPORTED TO NON-GAAP ADJUSTED INFORMATION

2013

<i>in USD millions</i>	GAAP ¹ Reported	Purchase Accounting	Acquisition Related Costs	Certain Significant Items	Non-GAAP Adjusted ²
Cost of Sales	1,669	(2)	-	(42)	1,625
Gross Profit	2,892	2	-	42	2,936
<i>Gross Profit as % of Revenue</i>	63.4%				64.4%
Selling, General and Administrative expenses	1,613	1	-	(188)	1,426
Research & Development Expenses	399	(1)	-	(7)	391
Amortization of Intangible Assets	60	(46)	-	-	14
Total Operating Expenses	2,072	(46)	-	(195)	1,831
<i>Total Operating Expenses as % of Revenue</i>	45.4%				40.1%
Restructuring Charges and Certain Acquisition Related Costs	26	-	(22)	(4)	-
Other (Income) / Expenses	(9)	-	-	1	(8)
Income before Provision for Taxes on Income	690	48	22	240	1,000
Provision for Taxes on Income	187	16	8	81	292
Income from Continuing Operations	503	32	14	159	708
Net Income attributable to Zoetis	504	32	14	159	709

¹ U.S. generally accepted accounting principles.

² Non-GAAP adjusted net income and its components are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components. Non-GAAP adjusted net income and its components are presented solely to permit investors to more fully understand how management assesses performance.

RECONCILIATION OF ADJUSTED NET INCOME TO ADJUSTED EBIT

2013 – 2017

<i>in USD millions</i>	2013	2014	2015	2016	2017
Adjusted Net Income Before Allocation to Noncontrolling Interests ³	\$708	\$794	\$889	\$973	\$1,183
Interest Expense ⁴	113	117	124	166	175
Interest Income ⁴	(3)	(6)	(6)	(8)	(13)
Income Taxes ⁴	292	290	326	415	465
Adjusted EBIT ⁵	\$1,110	\$1,195	\$1,333	\$1,546	\$1,810
% of revenue	24.3%	25.0%	28.0%	31.6%	34.1%

³ Adjusted Net Income Before Allocation to Noncontrolling Interests (a non-GAAP financial measure) is defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line item, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. The adjusted net income measure is not, and should not be viewed as, a substitute for U.S. GAAP reported net income attributable to Zoetis.

⁴ As included in adjusted net income.

⁵ Adjusted Earnings Before Interest and Taxes (EBIT) (a non-GAAP financial measure) is calculated before the impact of purchase accounting adjustments, acquisition-related costs and certain significant items and is a non-GAAP financial measure.

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